

City Contract

Version 5.1 released on 2/29/24

This form should be used for all types of contracts including agreements (excluding Grant Agreements), Contracts, CBAs, MOAs, and MOUs. In addition to requests for New Contracts, Amendments and Renewals, this form should be used for Statutory Change Orders, Quantity Adjustments, Final Payments and Permission to continue requests.



CITY COUNCIL USE ONLY

Date Received: _____
Committee Date: _____
1st Agenda Date: _____

Tracking #: _____
Committee: _____
Hearing Date: _____
2nd Agenda Date: _____

CITY CLERK USE ONLY

☐ Scanned Date: 04.10.2024
☐ Posted Item #: 2404.00898

All department items requiring Council approval must be submitted through the Mayor's Office.

Primary Details

Contract Phase

☒ New Contract ☐ Renewal ☐ Amendment ☐ Statutory Change Order ☐ Supplemental Documentation ☐ Quantity Adjustment ☐ Final Payment ☐ Permission to Continue ☐ IDP Formal Acceptance ☐ Terminate/Cancel

Board Approval

Tulsa Industrial Authority

Other Board Name

Tulsa Authority for Economic Opportunity

City Council Approval

☒ Yes ☐ No

Contract Number

138804

Department

Mayors Office

Contact Name

Cassia Carr

Email

jbetancourt@cityoftulsa.org

Phone

19185967700

Vendor Name(s)

Tulsa Authority for Economic Opportunity

Vendor Number

4253

Description (Subject)

Local Development Act Tax Exemption Agreement

This should match the Munis description field but should be different from Contract Type or Subtype

Contract Type

Intergovernmental

Contract Subtype

Tax Agreements

Bid/Project Number

Contract Amount

Site Address

Site Parcel No.

IDP, Real Property, or other property related contract address

Budget

Contract Funding Type

☐ No Payment Involved
☐ Revenue Contract
☐ Expense Contract

Funding Source(s)

Affidavit of Claimant should be attached to the contract for Expense Contracts

Enter the funding source(s) using the appropriate Munis funding format: Org (Allocation Code)-Object-Amount (1001211-531401-\$10.00) or Project String-Amount (144104.AbstTitle5413102.6001-4043122-541102-\$30,000.01)

TOTAL:

Approvals

Department:

Legal:

Board:

Mayor:

Other:

Audrey D Blank

Cassia Carr

Mayor Pro Tem

Date:

Date:

Date:

Date:

Date:

4-5-24

APR 10 2024

A-24-1707

Policy Statement

Background Information

Provide background information on the requested action.

Summation of the Requested Action

This Agreement is made and entered by and between the City of Tulsa, OK , The Board of County Commissioners of Wagoner County; Independent School District No. 2 of Rogers County; School District No. 18 of Tulsa County; the Wagoner County Health Department; and Rolling Hills Fire Protection District No. 1 for a Local Development Act Tax Exemption Agreement in which the Tulsa Authority for Economic Opportunity and Atmos LLC will enter into a conditional development and financing assistance agreement regarding property more particularly described in the attached Exhibit A, to develop it into a data center project meeting the business type described in the attached Exhibit A. It is necessary and desirable, in order to ensure the economic viability of the Project, that provisions be made by the various taxing entities sharing in the ad valorem taxes and specific special assessments applicable to the property after development to provide for the granting of 25-year exemption of 85% of the ad valorem taxes and special assessments levied by or on behalf of the Taxing Entities that become due and owing on the Project, the Property and improvements beginning on the date the City activates a Tax Incentive District.

Summarize the pertinent details of the requested action

Other Pertinent Details

Provide any additional information that should be considered when considering approval of this contract document

Processing Information for City Clerk's Office

Post Execution Processing

- ☐ Mail vendor copy (add'l signature copies attached)
- ☐ Must be filed with other governmental entity
- ☐ Add'l governmental entity approval(s) required

Additional Routing and Processing Details

If you have any questions or concerns, please contact Spencer Mitchell, Director of Economic Incentives.

Policy Statement

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Summarize the pertinent details of the requested action

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**LOCAL DEVELOPMENT ACT TAX EXEMPTION AGREEMENT BETWEEN THE
CITY OF TULSA, THE BOARD OF COUNTY COMMISSIONERS OF WAGONER
COUNTY, INDEPENDENT SCHOOL DISTRICT NO. 2 OF ROGERS COUNTY,
SCHOOL DISTRICT NO. 18 OF TULSA COUNTY, THE WAGONER COUNTY
HEALTH DEPARTMENT, AND ROLLING HILLS FIRE PROTECTION DISTRICT NO.**

1

(PROJECT ANTHEM)

THIS AGREEMENT is made and entered into this ____ day of _____, 20____, by and between the City of Tulsa, Oklahoma, a municipal corporation ("City"); the Board of County Commissioners of Wagoner County ("County"); Independent School District No. 2 of Rogers County ("Catoosa Public Schools"); School District No. 18 of Tulsa County ("Tulsa Technology Centers"); the Wagoner County Health Department ("WCHD"); and Rolling Hills Fire Protection District No. 1 ("Rolling Hills Fire District") (City, County, Catoosa Public Schools, Tulsa Technology Centers, WCHD, and Rolling Hills Fire District, individually, "Party," and collectively, "Parties"; the Parties, less the City, "Taxing Entities").

WITNESSETH:

WHEREAS, the City, the Tulsa Authority for Economic Opportunity, a public trust having the City as its beneficiary ("TAEO"), and Atmoss LLC ("Developer") will enter into a conditional development and financing assistance agreement ("Development Agreement") regarding property more particularly described in the attached Exhibit A ("Property"), to develop it into a data center project meeting the business type described by U.S. Industry Number 518210 of the North American Industry Classification System (NAICS) Manual, 2017 revision, consisting of a capital investment of at least \$800,000,000.00, which is anticipated to include \$400,000,000.00 in construction costs, which will include public and private infrastructure needed to serve the data center (estimated to be approximately \$25,000,000.00 of public infrastructure), and \$400,000,000.00 in machinery and equipment costs ("Project"); and

WHEREAS, it is necessary and desirable, in order to ensure the economic viability of the Project, that provisions be made by the various taxing entities sharing in the ad valorem taxes and specific special assessments applicable to the Property, after development, to provide for the granting of 25-year exemption of 85% of the ad valorem taxes and special assessments levied by or on behalf of the Taxing Entities that become due and owing on the Project, the Property and improvements ("Exemption"), beginning on the date the City activates a Tax Incentive District following TAEO's receipt of written notice from the Developer pursuant to the Development Agreement, and in any event no later than December 31, 2030, all as authorized by Article 10, § 6(C) of the Oklahoma Constitution, its enabling legislation known as the Local Development Act, 62 O.S. § 851, *et seq.* ("Act") and pursuant to a Project Plan and Tax Incentive District to be considered and potentially approved by the City; and

WHEREAS, the Development Agreement will establish the terms and conditions of the Exemption, as required by 62 O.S. § 866, and the obligations in the Development Agreement will be conditioned upon (among other things) the approval of a Project Plan that establishes a Tax Incentive District for the Project by the City pursuant to the Act; and

WHEREAS, 62 O.S. § 865 requires the governing body of the City to enter into written agreements with the governing bodies of the Taxing Entities in order to provide the Exemption through a Tax Incentive District pursuant to the Act; and

WHEREAS, the granting of the Exemption through the creation of a Tax Incentive District related to the Project and Property to be activated no later than ten years after the after the date of the approval of the Project Plan, is deemed necessary, desirable and in the public interest, and will assist in strengthening the economic viability of the City, as a whole; and

WHEREAS, the Development Agreement will provide that if the Project fails to be completed, the Exemption will terminate and Developer will be liable for repayment of any Exemption provided up to the date of Developer's default; and

NOW, THEREFORE, in consideration of the mutual covenants, promises and conditions contained herein, the Parties agree as follows:

Section 1. In anticipation of and contingent upon the City's entering into said Development Agreement, considering and approving a Project Plan and establishing a Tax Incentive District pursuant to the Act sufficient to provide the Exemption, all as stated in the recitals to this Agreement, the Taxing Entities hereby agree to relinquish 85% of the increase in ad valorem taxes or special assessments levied by or on behalf of the Taxing Entities that become due and owing on real and personal property applicable to the Project, Property and improvements. Upon activation of the Tax Incentive District, no later than ten years after the after the date of the approval of the Project Plan, the Exemption shall commence upon the City's activation of the Tax Incentive District following TAO's receipt of written notice from the Developer pursuant to the Development Agreement (which activation will occur no later than December 31, 2030) and shall continue for a 25-year period, after which the Exemption and Tax Incentive District shall automatically terminate.

Section 2. The Exemption provided herein shall be in effect for ad valorem taxes and special assessments that become due and owing from the date the City activates the Tax Incentive District following TAO's receipt of written notice from the Developer pursuant to the Development Agreement (which activation will occur no later than December 31, 2030) until the date that is 25 years after the City's activation of the Tax Incentive District. The Exemption automatically terminates upon the expiration of 25 full years from its date of commencement or upon an earlier default under the Development Agreement.

Section 3. Pursuant to 62 O.S. § 867 the City shall provide an annual report to the chief executives of the Taxing Entities, such report including information describing the improvements made to the Project, naming the parties receiving incentives and demonstrating compliance with statutory requirements for tax incentive districts.

Section 4. This written Agreement contains the entire agreement between the Parties. Any alterations or modifications of the terms of this Agreement shall be agreed to in writing by the Parties.

APPROVED the day and year first above written.

[SIGNATURE PAGES FOLLOW]

THE CITY OF TULSA, OKLAHOMA,
a municipal corporation
(City)

By: _____
Mayor G. T. Bynum

Date: _____

ATTEST:

By: _____
City Clerk

APPROVED AS TO FORM:

By: Audrey D Blank
Asst City Attorney

APPROVED by the City Council on the ____ day of _____, 2024

Chair of the City Council

**BOARD OF COUNTY COMMISSIONERS OF
WAGONER COUNTY, OKLAHOMA**
(County)

By: *Fr Kelly* 2/20/24
Chair

By: *[Signature]*
Commissioner

By: *[Signature]* 2-20-24
Commissioner

(SEAL)



ATTEST:

By: *Lori Hendricks*
Clerk to the Board of County Commissioners

INDEPENDENT SCHOOL DISTRICT NO. 2 OF
ROGERS COUNTY
(Catoosa Public Schools)

By:

Andy Shouse

Chair, Board of Education

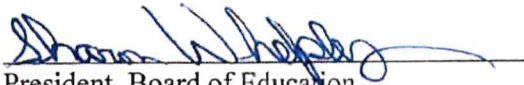


ATTEST:

By:

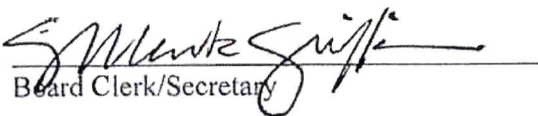
Kim Cullody
Secretary

SCHOOL DISTRICT NO. 18 OF TULSA COUNTY
(Tulsa Technology Centers)

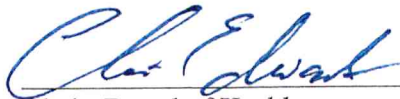
By: 
President, Board of Education

(SEAL)

ATTEST:

By: 
Board Clerk/Secretary

**WAGONER COUNTY HEALTH DEPARTMENT
(WCDH)**

By: 
Chair, Board of Health

(SEAL)

ATTEST:

By: 
Secretary

**ROLLING HILLS FIRE PROTECTION DISTRICT
NO. 1
(Rolling Hills Fire District)**

By: *Fabrizio Whitehead*
Chair, Board of Directors

(SEAL)

ATTEST:

By:

Bryan Fox
Secretary



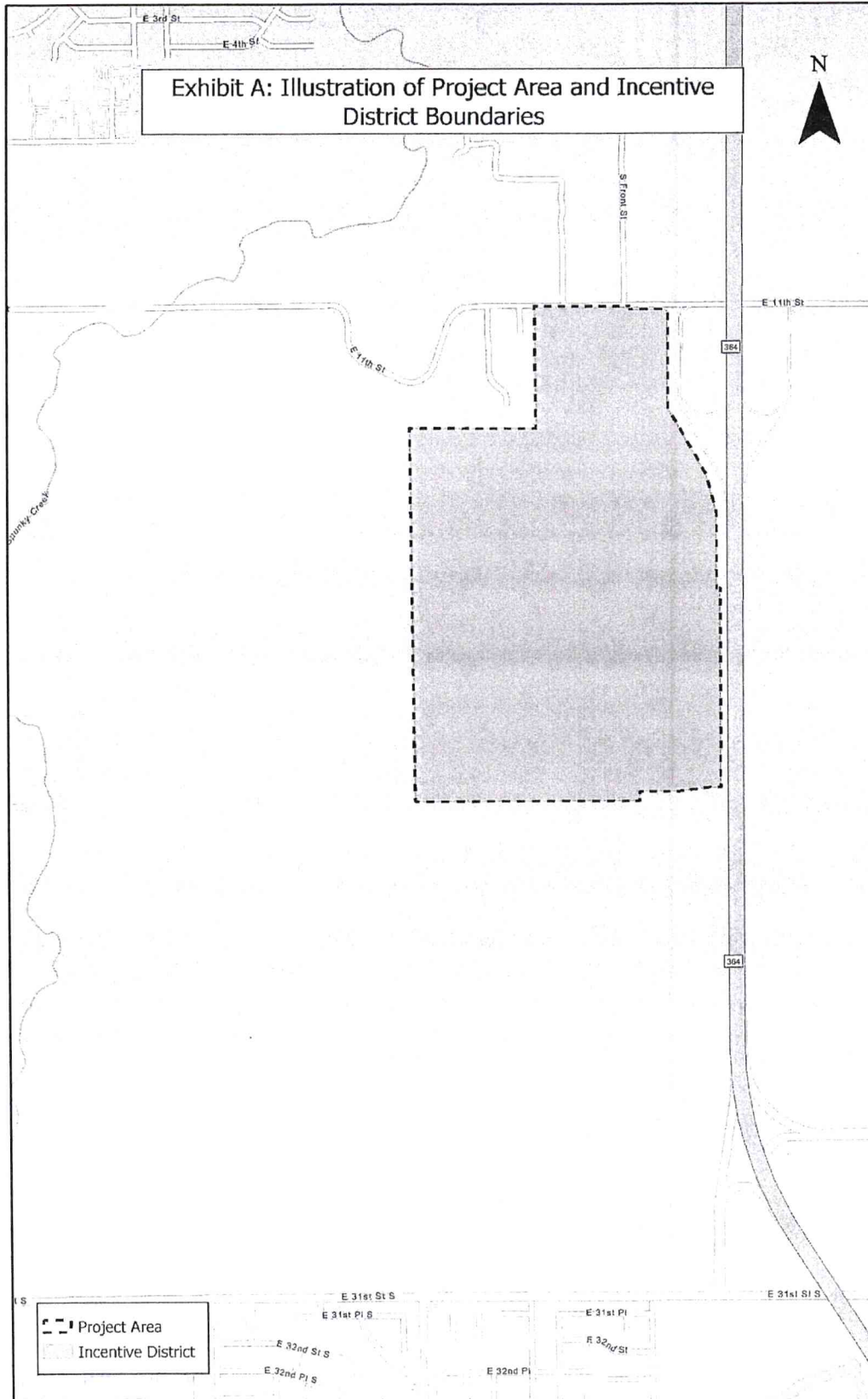
EXHIBIT A

PROJECT AREA AND INCENTIVE DISTRICT LEGAL DESCRIPTION

The Project Area and Incentive District share the same legal description:

A TRACT OF LAND LOCATED IN SECTION 8, TOWNSHIP 19 NORTH, RANGE 15 EAST OF THE INDIAN BASE AND MERIDIAN, WAGONER COUNTY, STATE OF OKLAHOMA, ACCORDING TO THE UNITED STATES GOVERNMENT SURVEY THEREOF, SAID TRACT OF LAND BEING MORE PARTICULARLY DESCRIBED AS FOLLOWS:

BEGINNING AT THE SOUTHWEST CORNER OF SAID SECTION 8; THENCE ON THE WEST LINE OF SAID SECTION 8 FOR THE FOLLOWING TWO (2) DESCRIBED COURSES: (1) ON AN ASSUMED BEARING OF N01°35'51"W, 2640.24 FEET TO THE WEST QUARTER CORNER OF SAID SECTION 8; (2) N01°36'38"W, 1320.45 FEET TO THE SOUTHWEST CORNER OF THE NORTHWEST QUARTER OF THE NORTHWEST QUARTER; THENCE ON THE SOUTH LINE OF SAID NORTHWEST QUARTER OF THE NORTHWEST QUARTER N88°59'14"E, 1319.08 FEET TO THE SOUTHEAST CORNER OF THE NORTHWEST QUARTER OF THE NORTHWEST QUARTER; THENCE ON THE EAST LINE OF SAID NORTHWEST QUARTER OF THE NORTHWEST QUARTER N01°34'23"W, 1320.26 FEET TO A POINT ON THE NORTH LINE OF THE NORTHWEST QUARTER OF SAID SECTION 8; THENCE ON SAID NORTH LINE OF THE NORTHWEST QUARTER OF SECTION 8 N89°00'04"E, 1066.01 FEET TO THE WEST RIGHT-OF-WAY LINE OF CREEK TURNPIKE; THENCE ON SAID WEST RIGHT-OF-WAY LINE OF CREEK TURNPIKE FOR THE FOLLOWING FOURTEEN (14) DESCRIBED COURSES: (1) S01°00'00"E, 85.34 FEET; (2) N88°58'26"E, 254.82 FEET; (3) N88°58'26"E, 133.21 FEET; (4) S45°58'59"E, 42.41 FEET; (5) S01°03'02"E, 1028.62 FEET; (6) S31°03'21"E, 810.01 FEET; (7) S15°26'06"E, 419.15 FEET; (8) S00°58'35"E, 799.95 FEET; (9) N88°05'44"E, 40.00 FEET; (10) S00°58'34"E, 2115.51 FEET; (11) S89°07'16"W, 113.07 FEET; (12) S82°06'35"W, 375.14 FEET; (13) S89°00'11"W, 384.60 FEET; (14) S00°37'49"E, 70.37 FEET TO A POINT ON THE SOUTH LINE OF THE SOUTHWEST QUARTER OF SAID SECTION 8; THENCE ON SAID SOUTH LINE OF THE SOUTHWEST QUARTER OF SECTION 8 S88°59'43"W, 2427.60 FEET TO THE POINT OF BEGINNING.



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